

2024



Expenses Deferrals “Scheduling” –
instead of using “Accrual Scheme”.

Dynamics 365 F&O

Bakr Abdelmonem
GALAXY IT Solutions
10/29/2024

Introduction

Accrual Scheme, this topic is crucial for anyone involved in financial management, as understanding, and effectively utilizing accrual schemes is key to accurately representing a company's financial health, Accrual accounting is a method that records earnings when they are earned and expenses when they are incurred, regardless of when cash transactions occur. This approach offers a more accurate picture of a business's financial status over time, be it a multinational corporation or a humble lemonade stand. In D365FO, we have functionalities that assist us in accruing journals effectively, and the key to this lies in setting up accrual schemes accurately.

Accrual schemes Issues.

We frequently encounter issues with our customers regarding the posting of prepaid expenses. Specifically, the system requires us to open all future financial periods to accept and post accrual transactions. This necessity to open future periods creates complications in our current cycle.

So, this is a proposal **Work around** to provide a convenient solution to our customers about this point.

By using the **Deferrals Schedules** in **Subscription Billing** Module

Pre-requisites configurations

Activate the Subscription Billing Module

System administration > Feature management > All

Finance and Operations						
Feature management						
Do not enable new features automatically						
New Not enabled Scheduled All						
Filter						
Feature name	Status	Enable date	Feature added	Feature state	Module	
Subscription billing		27/10/2024	12/08/2024		Subscription billing	

Mark Subscription billing module > click **enable**.

Required configurations

Parameters

Subscription billing > Setup > Revenue and expense deferral parameters

Standard view

Revenue and expense deferral parameters

General

Number sequences

Set up revenue and expense deferrals

SCHEDULE

Equal amounts per period ☒ Yes

Sales discount deferral option

Separate schedule for discounts ☐ No

Purchasing discount deferral option

Separate schedule for discounts ☐ No

Consolidate prior periods ☐ No

Short-term deferral method

Rolling periods

Default deferral start date

Transaction date

Deferral posting method

Balance sheet ☐ Profit and loss ☒

Reverse profit and loss on credit ☒ Yes

Interrupt in case of incomplete deferral ☐ No

RECOGNITION

Summarize recognition journal

Automatically post general journal ☐ No

Default journal name

Deferral

Recognition journal line description

Schedule line dates

Parameter name	Condition	Explanation / choose	Mandatory Yes / No
Equal amounts per period	Yes	To let the system divide the amount equally between periods	Yes
Consolidate prior periods	No	To let the system consolidate the schedule lines for prior periods	No
Short-term deferral method		Rolling Periods	
Deferral posting method		Profit and Loss	
Automatically post general journal	No	To Not let the system post the journal directly to the trial balance	No
Default journal name		Need to create a journal name to the deferrals transactions with Daily type and assign it to the field	
Recognition journal line description		Schedule line dates to let the system recognize the amounts as per the periods	

Deferrals Template

Subscription billing > Setup > Deferral templates

Create the template for the accrual transaction as required.

The screenshot shows the 'Deferral templates' setup screen. At the top, there are buttons for 'Save', '+ New', and 'Delete'. Below these is a 'Filter' search bar. On the left, a list of templates is shown, with 'PrePaid' (Prepaid Rent) selected. The main area displays the details for the selected template: 'Template' (PrePaid), 'Description' (Prepaid Rent), and 'Period frequency' (Monthly). Below this, the 'Lines' section contains a table with columns for selection, refresh, and type. The first line is selected (checked circle) and has the type 'Recognized'. To the right of the table, the 'Period length' is set to '12'. Red boxes highlight the 'New' button, the 'PrePaid' template, the 'Template', 'Description', and 'Period frequency' fields, the '+ Add' button, the 'Recognized' type, and the 'Period length' field.

Enter a value in **template** field

Enter a value in **Description**

Define the period frequency

Click **Add** > choose **Recognized** > enter the **number of periods**.

Deferrals Defaults

Subscription billing > Setup > Deferral defaults

Define the main accounts related to the Accrual Prepaid (Liability account) > Deferral Account

Define the main accounts related to the Expense account > Recognition Account

Straight-line template > assign the predefined template.

Standard view

Deferral defaults

Sales order Purchasing **General journal** Free text invoice Invoice journal

Select: **Deferral**

+ Add Remove

Deferral account	Short-term deferral account	Recognition account	Initial recognition account	Recognition offset account	Straight-line template
22220040050		66613170010			PrePaid

Transaction Processes

Journal Entry to record the accrual Transaction.

Accounts Payable > Invoice > Invoice journal

Vendor invoice journal | NACS-000105 : VII

Standard view

List General Invoice Cash discount Fixed assets Remittance History Foreign trade

+ New Delete Settle transactions Financial dimensions Sales tax Functions Voucher View marked transactions Deferrals

Date	Voucher	Deferred	Account type	Account	Account name	Invoice date	Invoice	Description	Debit	Credit	Total amo...	Currency	Offset account type	Offset ac
29/10/2024	VII-00000...		Ledger	22220040050-Nana Cloud-Marketplace-Riyadh Office-00000002--V-00000058---O...	Accrued Marketin...	31/10/2024	1234567		60,000.00		60,000.00	SAR	Vendor	V-00000058

Click on Deferrals to apply the Schedule Template.

Finance and Operations

Vendor invoice journal | NACS-000105 : VU

Standard view

List General Invoice Cash discount Fixed assets Remittance History Foreign trade

+ New Delete Settle transactions Financial dimensions Sales tax Functions Voucher View marked transactions **Deferrals**

Date	Voucher	Deferred	Account type	Account	Account name	Invoice date
29/10/2024	VU-00000...	☐	Ledger	22220040050-Nana Cloud-Marketplace-Riyadh Office-00000002-V-00000058---O...	Accrued Marketin...	31/10/2024

INVOICE

Terms of payment: Payment schedule: SALES TAX: Calculated sales tax amount: 0.00 CASH DISCOUNT: Cash discount: Cash discount date:

Due date: 31/10/2024 Actual sales tax amount: 0.00 Cash discount amount: 0.00

CURRENCY

	DEBIT	CREDIT	BALANCE
VOUCHER	60,000.00	60,000.00	0.00
JOURNAL	60,000.00	60,000.00	0.00

Budget check results: Budget check not performed

Standard view

Transaction deferral

Options

DEFERRAL

Deferred ☒ Yes

Accounts

Type: ☒ Account ☐ Offset account

Short-term account number: Short-term account name: Initial recognition account number: Initial recognition account name:

Deferral account number: 22220040050-Nana ... Recognition account number: 66613170010-Nana Cloud-... Recognition offset account num...:

Deferral account name: Accrued Marketing Expense Recognition account number: Utilities Recognition offset account name:

Schedule

DEFERRALS

Schedule type: ☒ Straight line ☐ Event based

Equal amounts per period: ☒ Yes ☐ No

Schedule from template: ☒ Yes ☐ No

Template: PrePaid

Deferral start date: 01/11/2024 Deferral end date: 31/10/2025

STRAIGHT LINE

Consolidate prior periods: ☒ No ☐ Yes

OK Default **Preview**

Click on **Preview** to check the periods and the amounts

Standard view

Deferral schedule preview

Schedule lines

Filter

Line	Start date	End date	Amount
1	29/10/2024	31/10/2024	0.00
2	01/11/2024	30/11/2024	5,000.00
3	01/12/2024	31/12/2024	5,000.00
4	01/01/2025	31/01/2025	5,000.00
5	01/02/2025	28/02/2025	5,000.00
6	01/03/2025	31/03/2025	5,000.00

Then click to **Post** the journal.

Recognition of the Expenses.

Check the deferrals Schedules

Subscription billing > Revenue and expense deferrals > Deferral schedules > All deferral schedules.

Save

Delete

Schedule

Options

Accounting

Hold

Cancel

Modify schedule

Modify account

Audit trail

Place hold

Remove hold

Unrecognized amounts

Complete schedule

All deferral schedules

Standard view *

Filter

	Deferral schedule number	Transaction type	Sales order	Variant number	Item number	Charge code	Sales category	Deferral a...	Schedule status	Recognition type	Customer/Vendor	Invoice
	NACS-000003	Invoice journal						60,000.00	Active	Debit	V-00000052	1234567

Expenses Recognition Processes

Click on Deferral Schedule number to check the schedule created.

Save

Delete

Schedule

Options

Accounting

Modify schedule

Modify account

Audit trail

Hold

Place hold

Remove hold

Cancel

Unrecognized amounts

Complete schedule

All deferral schedules

|

Standard view

NACS-000003 : Invoice journal

Schedule header

Schedule lines

Recognize

Reverse

Line

Deferral start date

Deferral end date

Amount

Stubbed

1

29/10/2024

31/10/2024

0.00

2

01/11/2024

30/11/2024

5,000.00

3

01/12/2024

31/12/2024

5,000.00

4

01/01/2025

31/01/2025

5,000.00

5

01/02/2025

28/02/2025

5,000.00

6

01/03/2025

31/03/2025

5,000.00

7

01/04/2025

30/04/2025

5,000.00

8

01/05/2025

31/05/2025

5,000.00

9

01/06/2025

30/06/2025

5,000.00

10

01/07/2025

31/07/2025

5,000.00

11

01/08/2025

31/08/2025

5,000.00

12

01/09/2025

30/09/2025

5,000.00

13

01/10/2025

31/10/2025

5,000.00

Choose the required period need to recognize > Recognize.

Standard view

Recognition processing

Parameters

RECOGNITION
 Recognition action

JOURNAL
 Name

Description

TRANSACTION DATE
 Transaction date

Cutoff date

Summarize recognition journal
☐ No

Transaction date for closed periods

Records to include

Filter

DEFERRAL SCHEDULE

Deferral schedule number

Click on Preview

Standard view

Recognition processing

Preview

Remove

	Line	Deferral schedule n...	Deferral start date	Deferral end date	Expiration date	Amount	Recognized	Stubbed	Transaction date
☐	2	NACS-000003	01/11/2024	30/11/2024		5,000.00	☐	☐	30/11/2024

Click on Process to let the system create a journal

Schedule lines processed: 1

Save
 Delete
 Schedule
 Options

Accounting
 Modify schedule
 Modify account
 Audit trail

Hold
 Place hold
 Remove hold

Cancel
 Unrecognized amounts
 Complete schedule

All deferral schedules | Standard view

NACS-000003 : Invoice journal

Schedule header

Schedule lines

Recognize Reverse

	Line	Deferral start date	Deferral end date	Amount	Stubbed	Recognized	Recognition date	Journal batch number	Voucher
☐	1	29/10/2024	31/10/2024	0.00					
☐	2	01/11/2024	30/11/2024	5,000.00		✓	30/11/2024	NACS-000108	Dfr1000000006
☐	3	01/12/2024	31/12/2024	5,000.00					
☐	4	01/01/2025	31/01/2025	5,000.00					
☐	5	01/02/2025	28/02/2025	5,000.00					
☐	6	01/03/2025	31/03/2025	5,000.00					
☐	7	01/04/2025	30/04/2025	5,000.00					
☐	8	01/05/2025	31/05/2025	5,000.00					
☐	9	01/06/2025	30/06/2025	5,000.00					
☐	10	01/07/2025	31/07/2025	5,000.00					
☐	11	01/08/2025	31/08/2025	5,000.00					
☐	12	01/09/2025	30/09/2025	5,000.00					
☐	13	01/10/2025	31/10/2025	5,000.00					

Click on the Journal Batch number to view and post the recognition expense voucher

Journal voucher | NACS-000108 : Deferral

Standard view ▾

Display journal lines

All ▾

List General Invoice Payment Payment fee Fixed assets Remittance History

+ New Delete Voucher Financial dimensions ▾ Sales tax Functions ▾ Deferrals

☐	☐	Date	Voucher	Deferred	Company	Account type	Account	Description	Debit	Credit
☐	☐	30/11/2024	Dfri000000006	☐	nacs ▾	Ledger ▾	22220040050-Nana Cloud-Marketplace-Riyadh Office-00...	NACS-000003 : 01/11/2024 - 30/11/2024 ▾		5,000.00
		30/11/2024	Dfri000000006		nacs	Ledger	66613170010-Nana Cloud-Marketplace-Riyadh Office-00000...	NACS-000003 : 01/11/2024 - 30/11/2024	5,000.00	

Click on **Post**.

At the End of Each Month repeat the same process till the end of the periods.

Thank you,